

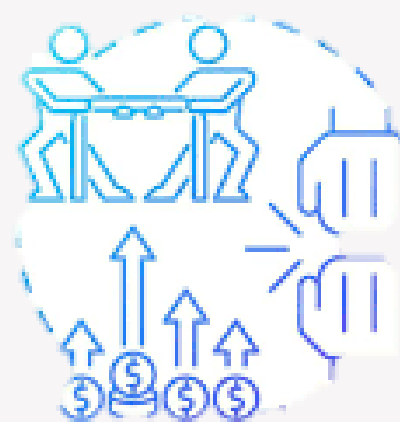


## The Boom: A Rising Industry



- The Canadian distillery industry has seen strong momentum ~ **435** business, growing at **over 7%** CAGR (2021-2025)
- The craft spirits movement has transferred local producers into creative tourism destinations
- Quebec alone now accounts for **over 75** micro-distilleries and **369** different gins, driven by demand for local, small-batch products

## The Slowdown: From Growth to Saturation



- Market growth lags business creation: +7.56% distilleries vs. only **+0.81%** in market size
- The early “gin craze” is **cooling down**, and product differentiation is fading
- SAQ plans to **delist 150-200** Quebec-made spirits, revealing **oversupply pressures**
- Rising production and marketing costs further **compress margins**
- **Dependence on SAQ retail** limits control over pricing and visibility

## The Standout: Distillerie Grand Dérangement



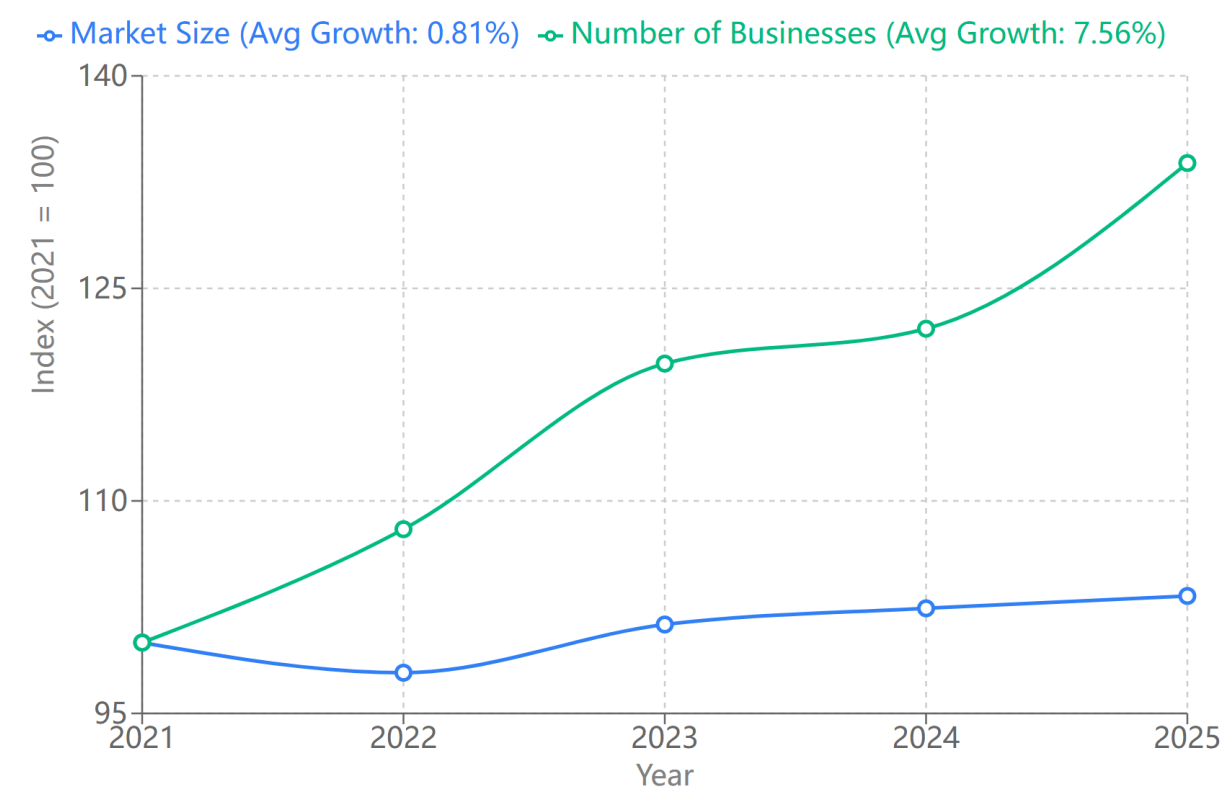
- Founded in 2017, **the first certified organic distillery** in Quebec and Lanaudière’s only **ÉCONOMUÉE**
- Integrate **Acadian heritage** through architecture, storytelling, and labels, turning production into a cultural experience
- Attracts **3-4k** visitors annually with revenue at **\$200-300k**



# 3 Problems Identified

## High and Increasing Competition

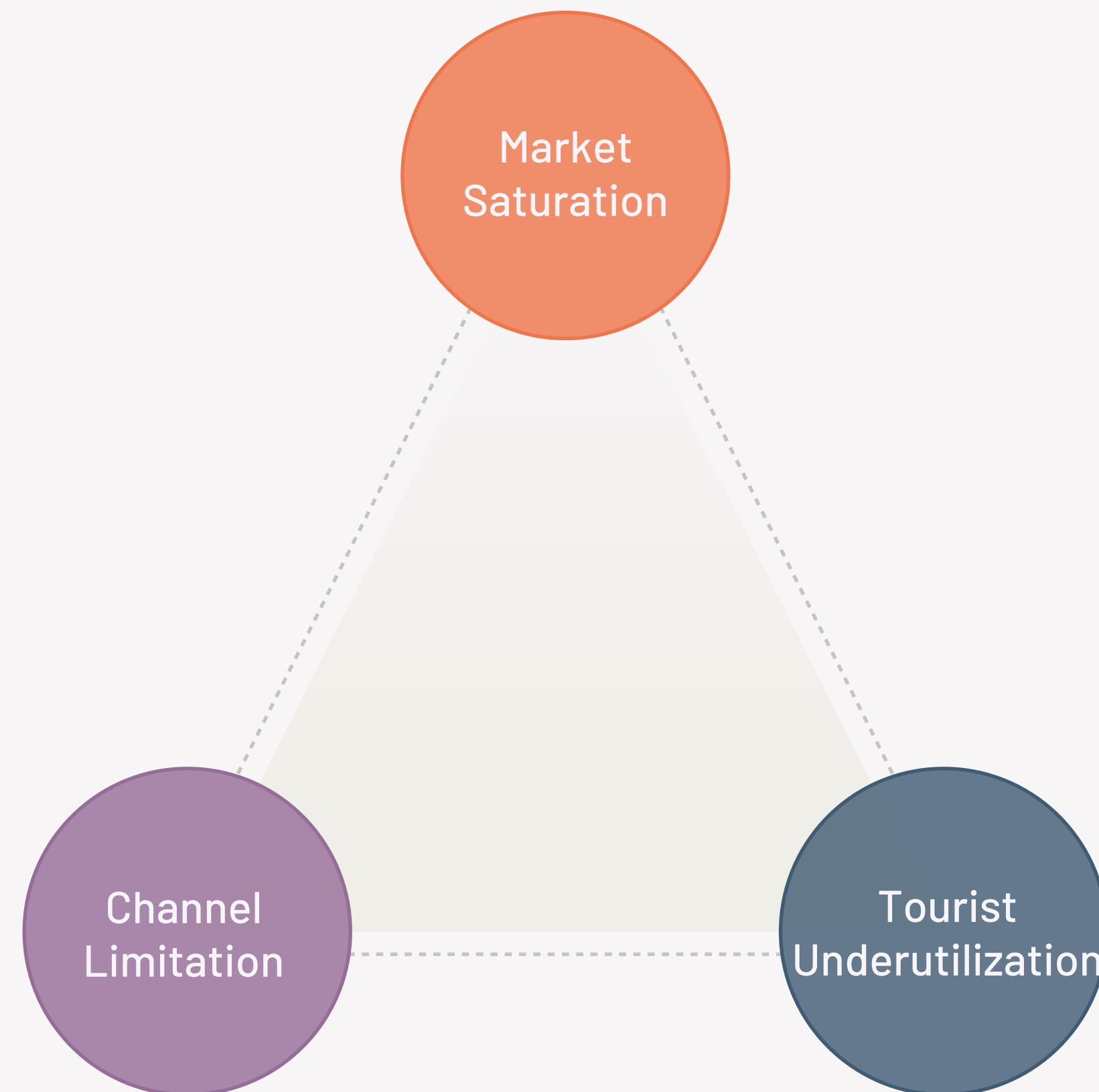
- Growth in firms 7.56% VS growth in market size 0.81%
- Low market concentration
  - Top 4 largest companies occupy only 28% market share



IBIS World Report 31214CA - Distilleries in Canada

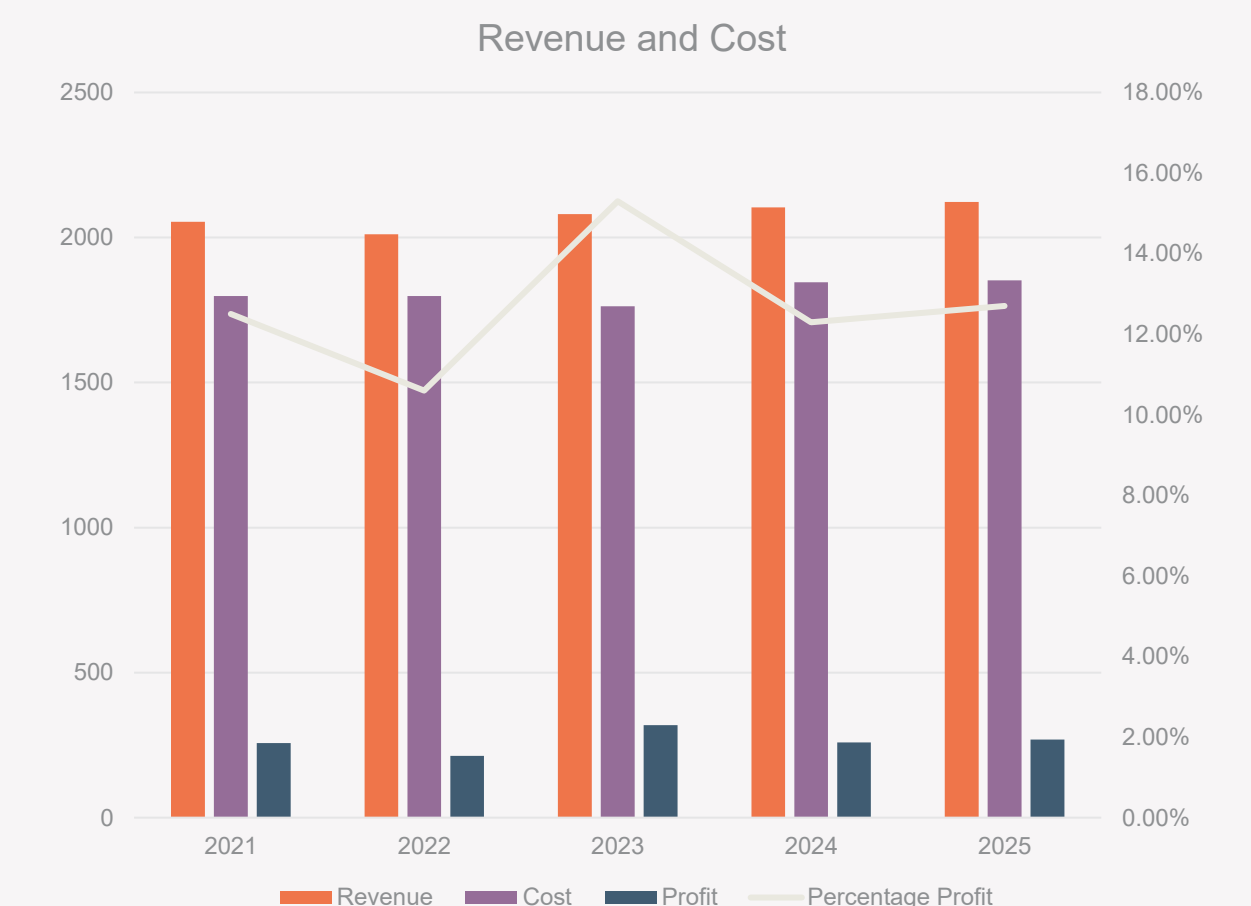
## Limited retail channel

- Reliance on SAQ
  - “plan of 150-200 withdraw of lower-selling Quebec spirits from store shelves by winter 2025” – Canadian Press



## Rising cost and stagnant profit margin

- Competition drives down price margins > Profit margin only 13% of revenue
- Rising raw material costs of grain and packaging
- Time delay for aging spirits
- 2% Excise duty rate rise



## Low visitor conversion rate

- Good awareness of local visitors
  - Estimated participation rate at 1.62%
- Low tourist conversion rate of 1.12%
  - Low ratio of visitors of 484 compared to a total of 42568 residents in Lanaudiere
- Low recurring visits: 2 recurring visits per visitor